

Agency in Michigan

STUDY SHEET

Customer VS. Client

CLIENT

Someone you work FOR (owed all agency duties)

CUSTOMER

Someone you work WITH (owed honesty, fairness, disclosure of material facts)

Whom do you represent? The client!

Who's Who

Agent : Acts on behalf of another at that person's request

Client: Principal in a real estate transaction, represented by the agent

Fiduciary: Person placed in position of trust and owes loyalty to another

Principal: Represented party to a transaction

Agency : The fiduciary relationship between a principal and an agent

Nonagent : Facilitator or transactional agent

Creating Agency

Express Agency

Understood by both parties, usually written

Implied Agency

Act in way consumer believes you to be their agent

Compensation does not create agency!

8 Ways To Terminate Agency

1. Client's goals were met
2. Specified term expires
3. Client and agent mutually agree to dissolve agency
4. Client or agent becomes incapacitated or dies
5. Property is destroyed
6. Client or broker files for bankruptcy
7. Client revokes agreement-No penalty if for cause
8. Agent renounces agreement

Agent Types

Special = Broker/Salesperson

General (usually) = Property Manager

Limited = Escrow Officer

Universal = Conservator, Power of Attorney

Finder = Middleman (not an agent)

Agency Roles

Buyers Agent: Works for buyer exclusively

Sellers Agent: Works for seller exclusively

Dual Agent: Works for both buyer and seller (or tenant and landlord)

Brokers Agent : Serves listing broker, not seller

Subagent: Works under listing agent and serves seller (seller has vicarious liability)

Cooperating Agent: Brings other party to the transaction

Fiduciary Duties

OLD CAR

Obedience **L**oyalty **D**isclosure **C**onfidentiality **A**ccountability **R**easonable Skill and **C**are